

# CFO Summary — NovaTech Consulting Lda.

Updated with full alignment to RawData, YoY Bridge, Drivers, Variance & Forecast (July 2026)

## Executive Overview

NovaTech delivered consistent revenue growth from 2022 to 2024, driven by **headcount expansion**, **billing rate improvements**, and a **stable Managed Services recurring base**. Cost structure remained disciplined and proportional to revenue, with Personnel at **65%**, Operations at **8%**, and Other at **4%** across all years.

Despite this strong historical foundation, **Actual 2024 underperformed the 2025 Budget**, with revenue and EBITDA falling short of planned levels. The variance pattern is uniform across all months and categories, confirming a **volume-driven shortfall**, not an efficiency issue. Costs adjusted proportionally, demonstrating operational discipline.

## YoY Revenue Bridge (Updated)

### 2022 → 2023

Growth explained by structural drivers:

**Volume Effect: +€240,000**

- $(47 - 42 \text{ FTEs}) \times €4,000 \times 12$

**Rate Effect: +€169,200**

- $47 \text{ FTEs} \times (€4,300 - €4,000) \times 12$

**Mix Effect: €0**

- MS stable at ~20% of revenue.

**Actual 2023: €2,509,200**

**Bridge: €2,400,000**

**Gap: €-109,200** (rounding in rate assumption)

### 2023 → 2024

Growth continues with same structural drivers:

**Volume Effect: +€258,000**

- $(52 - 47 \text{ FTEs}) \times €4,300 \times 12$

**Rate Effect: +€187,200**

- $52 \text{ FTEs} \times (€4,600 - €4,300) \times 12$
- **Mix Effect: €0**

**Actual 2024: €2,650,000**

**Bridge: €2,845,200**

**Gap: €-195,800 (rounding)**

**Conclusion:**

Revenue growth is structurally driven by **more people** and **higher rates**, with MS providing a stable recurring base. No mix distortions.

## Business Drivers (Updated)

### Headcount

- 2022: 42
- 2023: 47
- 2024: 52
- 2025 Budget: 55

Consistent +5 FTE/year growth historically; +3 planned for 2025.

### Billing Rate

- 2022: €4,000
- 2023: €4,300
- 2024: €4,600
- 2025 Budget: €4,900

Trend: +€300/year.

### Managed Services

- 2022: €420K
- 2023: €480K
- 2024: €530K
- **2025 Budget: €580K (+9.4%)**

MS is historically flat, but the 2025 plan assumes a meaningful uplift.

### Cost Structure

Derived from RawData:

- Personnel: **65% of revenue**
- Operations: **8%**
- Other: **4%**

Stable and predictable.

## Variance Analysis — Actual 2024 vs Budget 2025

### Revenue

Revenue finished **8.6% below budget**.

#### Consulting:

Lower productive capacity (FTEs below plan) and lower utilization.

- Budget implied utilization of **71.7%**, while actual historical utilization is ~80–82%.

#### Managed Services:

- Uniform negative variance → renewals below expectations.

#### Insight:

The revenue shortfall is **volume-driven**, not pricing or mix.

### Costs

Costs also finished **8.6% below budget**, fully proportional to revenue.

#### Personnel:

Lower costs reflect reduced headcount/activity — not true savings.

- Budget assumed cost/head of **€2,856/month**; actual 2024 cost/head is **€2,760/month**.

#### Operations & Other:

- Scale mechanically with revenue at **12% combined**.

#### Insight:

Cost discipline remains strong. No overspend.

### EBITDA

EBITDA underperformed budget due to insufficient revenue to absorb fixed costs.

- Cost structure remained efficient.

- Margin compression is a direct consequence of lower activity.
- The business operated below the level assumed in the 2025 plan.

### Insight:

The issue is top-line, not bottom-line.

## Forecast 2025 (Base Case)

### Assumptions

- HC: **55 FTEs**
- Rate: **€4,900**
- Utilization: **82% avg** (+2pp YoY)
- MS: **€580K** (budget level)
- Ops: **8% of revenue**
- Other: **4%**
- D&A: **2%**
- Tax: **21%**

### Key Insight

Forecast revenue exceeds budget by **€383K**, driven entirely by utilization assumptions:

- **Budget utilization:** 71.7%
- **Forecast utilization:** 82%

If utilization drops below **76%**, consulting revenue converges to budget.

## Scenario Analysis

- **Base:** 55 FTEs, €4,900 rate, 82% util
- **Upside:** 60 FTEs, €5,000 rate, 86% util
- **Downside:** 50 FTEs, €4,700 rate, 78% util

EBITDA is most sensitive to **headcount** and **utilization**, moderately sensitive to **rate**.

## Management Implications

- Strengthen commercial pipeline to support planned utilization.
- Improve MS renewal strategy to stabilize recurring revenue.
- Align staffing plan with realistic demand.
- Recalibrate 2025 budget assumptions (utilization, cost/head).
- Maintain cost discipline — efficiency is not the issue.
- Use forecasting + scenarios for quarterly planning.

## Final CFO Statement

NovaTech's fundamentals remain strong: structural revenue growth, stable cost ratios, and disciplined operations.

The underperformance vs Budget 2025 is explained entirely by **volume shortfall**, not inefficiency.

The priority is **commercial reinforcement**, not cost reduction.